Amazon (AMZN) | Earnings Update

3Q26 (quarter ended 30 September 2026) | 30 October 2026 | Post-call | Josh, with Trevor

1 Executive snapshot

Consensus thesis	Investors own Amazon as the AI capacity landlord whose AWS growth re-accelerated on a $496bn backlog anchored by Anthropic and OpenAI, and pay about 23.5x FY27 EPS for mid-to-high-30s AWS growth and 2027 capex that earns its keep.
Thesis status	**Monitoring** — growth pillars confirmed and raised; the funding and off-balance-sheet pillars are challenged.
Versus expectations	Quarter: mixed. AWS beat ($46.0bn, +39.3%, vs $45.4bn Zacks and $45.6bn LSEG) and operating income of $28.1bn beat the top of the $22.5-26.5bn guide, but EPS missed ($1.89 vs $1.96) and revenue was in line ($201.9bn vs $202.2bn). Outlook: below on profit (4Q operating income guide midpoint $31.0bn vs $33.0bn consensus), in line on revenue ($243.5bn vs $244.5bn), above on spend (3Q cash capex $75.9bn, about $20bn above estimates; 2027 'meaningfully more').
Biggest changes	• AWS growth is now guided, not hoped for: 39.3% in 3Q ($46.0bn, $184bn run rate) and Jassy projects over 40% in both 2027 and 2028, with backlog up to $578bn (+16.5% QoQ, +189% YoY) and margin 38.7% with only $91mn of energy-derivative help. • The build stopped being self-funded: 3Q cash capex $75.9bn (+43% QoQ, 1.8x operating cash flow), quarterly FCF -$33.5bn and TTM FCF -$42.4bn; 2027 capex 'meaningfully more' than about $220bn, with no number. • Amazon now borrows like a builder: face debt $180.9bn (+$47.9bn QoQ; $68.8bn at year-end), the $17.5bn term loan drawn at SOFR+62.5-87.5bp, and a new secured supplier loan facility of up to about $80bn (Q1 2027 to Q3 2028), its first debt secured on purchased equipment. • Off-balance-sheet commitments jumped: leases not yet commenced $164.9bn (+$27.7bn QoQ), total commitments $883.6bn (+36%), energy contracts 690mn MWh (from 270mn) over about 18 years. • Jassy put a number on the neocloud penalty: neocloud capacity is 'about 3,500 basis points worse in operating margin' than long-leased capacity, and most AWS capacity is owned or long-leased.
Investor takeaway	→ *Consensus should raise AWS growth and keep the landlord thesis, but drop any assumption that the build pays for itself: Amazon's AI compounding improves while its credit quality weakens at the margin, as debt, secured equipment loans and $165bn of uncommenced leases fund the gap.*
Monitor next quarter	1. 4Q cash capex: the unchanged ~$220bn FY26 guide implies only ~$47.8bn in 4Q (vs $75.9bn in 3Q); a 2027 number when given in February. 2. Funding mix: first draws and terms on the ~$80bn secured supplier facility, 2027 bond plans, and any rating outlook change from A1/AA/AA-. 3. Backlog breadth: any concentration disclosure for the $578bn (Anthropic, OpenAI) and whether 4Q AWS growth reaches 40%.

Sources: 3Q26 8-K Ex. 99.1 and 10-Q (29-30 October 2026); call transcript (StockAnalysis, cross-checked with Investing.com); consensus from the preview card (Yahoo, Zacks) and LSEG/Bloomberg as cited by Euronext/Reuters and Yahoo. No knowledge base: web-retrieved documents only; two quarters of transcripts, six quarters of segment data.

2 Key changes this quarter

Pillar scorecard

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 AWS re-acceleration holds	35-37.6% ($44.6-45.4bn)	39.3% ($46.0bn); >40% projected for 2027 and 2028	Confirmed	Release; call
P2 Backlog converts and broadens	Backlog > $496bn; breadth	$578bn (+16.5% QoQ); 'well-diversified' (Jassy); new AWS deals incl. Meta, NVIDIA, OpenAI; life 6.1 yrs (6.4); no concentration figure	Confirmed (breadth unverified)	10-Q; call
P3 AWS margin survives D&A	High 30s ex derivative gain (~38.1% in 2Q)	38.7% with $91mn derivative gain; AWS D&A $9.23bn (+63% YoY)	Confirmed	Release; 10-Q
P4 Capex funded and earns a return	~$61.8bn/qtr 2H pace, funded by OCF and IG debt without stress	$75.9bn; FCF -$33.5bn in qtr; $48.1bn LT debt raised; ~$80bn secured facility; 2027 'meaningfully more'; shares -4.3% then ~-6% after hours	Challenged	Release; 10-Q; call; Investing.com
P5 Lab stakes and off-B/S build are assets	Stakes add value; $137.2bn leases manageable	Anthropic carrying $238.7bn (+$48.3bn QoQ); leases not commenced $164.9bn; commitments $883.6bn; energy 690mn MWh	Challenged	10-Q

Shift	Detail
More	Multi-year AWS growth targets (>40% in 2027 and 2028); 'trillion dollar' AWS in 5-10 years; Bedrock and inference (tokens ~17x); Trainium external sales from late 2027; owned/long-leased capacity vs neoclouds; useful-life extension and faster break-even.
Less or dropped	Power capacity 'doubling by end-2027' (2Q call) not repeated in the sources read; no GW added; no quantified 2027 capex; no free cash flow, debt or lease commentary on the call.
KPIs more important	Quarterly FCF and capex/OCF; face debt and secured borrowing; leases not yet commenced; backlog weighted life (6.4 to 6.1 yrs); AWS D&A as % of AWS revenue (20.1%).
KPIs less important	Energy-derivative adjustment to AWS margin (only $91mn in 3Q); retail margin noise from Prime Day timing.
Risks up	Funding and leverage; off-balance-sheet commitments; capex inflation from memory and components; lab exposure through stakes.
Risks down	AWS deceleration and backlog conversion; AWS margin compression (held at 38.7%).

→ The quarter confirmed demand and margin and challenged funding: the bull case got a growth target, the bear case got a cash-flow number.

Analyst focus matrix (Trevor)

Topic	2Q26 (Jul)	3Q26 (Oct)	Trend
Delivery and capacity timing	Post (direct)	Post (partial)	Persistent
Backlog and new contracts	Gawrelski (partial)	Nowak (direct)	Persistent
Pricing	Gawrelski (partial)	Sandler (partial)	Persistent
Margins	Anmuth (partial)	Mahaney (deflected)	Persistent
Capex and funding	Nowak (partial); Sebastian (deflected)	Anmuth (deflected)	Persistent
Depreciation and useful lives	-	Anmuth (partial)	New
Inference vs training (Bedrock)	-	Sheridan (direct); Sandler (direct)	New
Chips (Trainium outside AWS)	Nowak (partial)	Sheridan (direct)	Persistent
Competition (neoclouds)	-	Sandler (answered via margins)	New
Concentration; cost of debt; leases	-	-	Not asked

Six analysts asked questions on the 3Q call; seven on the 2Q call. Nobody asked about free cash flow, the new secured facility, the $164.9bn of leases not yet commenced or lab concentration. The capex question got 'We can fund this plan' and no number. Ratings are ours; two quarters of transcripts read.

Trevor's watch-list

Analyst	Qtr	Question (trimmed)	Answer	Rating	Later evidence
Colin Sebastian, Baird	2Q26	Sources of capital for the build?	Have issued debt, many options, nothing to announce	Deflected	3Q: $48.1bn LT debt, term loan drawn, ~$80bn secured facility
Doug Anmuth, J.P. Morgan	3Q26	Capex needed for 40%+ AWS growth; useful lives?	'Meaningful'; extending lives, faster break-even; 'We can fund this plan'	Deflected	TTM FCF -$42.4bn; 2027 capex unquantified
Justin Post, BofA	3Q26	Why did AWS growth slow QoQ?	Capacity adds are uneven; 'a lot of capacity coming'	Partial	QoQ add $3.75bn vs $4.65bn in 2Q

CK named no analysts. Trevor added Colin Sebastian (only analyst to press on funding, 2Q) and Doug Anmuth (capex and useful lives, 3Q); Sebastian did not ask in 3Q.

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Net sales ($bn)	201.9	200.6	180.2	+0.7% / +12.1% [~]	Prime Day shift (~400bp)
Operating income ($bn)	28.1	27.5	17.4	+2.2% / +61.2% [↑]	Record
Operating margin	13.9%	13.7%	9.7%	+0.2pp / +4.2pp [↑]	Rising
Diluted EPS (GAAP)	$1.89	$5.75	$1.95	n.m. / -3% [?]	Anthropic marks distort
AWS revenue ($bn)	46.0	42.2	33.0	+8.9% / +39.3% [↑]	Accelerating YoY
AWS QoQ $ added ($bn)	3.75	4.65	2.13	slower [↓]	Uneven capacity adds
AWS operating margin	38.7%	39.4%	34.6%	-0.7pp / +4.1pp [~]	High 30s
AWS D&A ($bn)	9.23	8.08	5.65	+14% / +63% [↓]	20.1% of AWS revenue
AWS backlog ($bn)	578	496	200	+16.5% / +189% [↑]	Life 6.1 yrs (6.4)
Cash capex, net ($bn)	75.9	53.1	34.2	+43% / +122% [↓]	Above implied ~61.8
Operating cash flow ($bn)	42.4	45.4	35.5	-7% / +19% [~]	TTM 168.3
FCF, quarter ($bn)	-33.5	-7.7	1.3	worse [↓]	TTM -42.4
AWS share of PP&E additions	73%	76% (H1)	73%	[~]	AWS-led
Long-term debt, face ($bn)	180.9	133.0	55.1	+36% / +228% [↓]	Incl. $17.5bn term loan
Cash + marketable securities ($bn)	114.2	123.0	n.a.	-7% [↓]	Net debt ~66.7
Interest expense ($bn)	1.69	1.31	0.54	+29% / +214% [↓]	0.8% of sales
Leases not yet commenced ($bn)	164.9	137.2	n.a.	+20% [↓]	96.4 at year-end
Total commitments ($bn)	883.6	650.0	n.a.	+36% [↓]	P&E 159.6
Energy contracts (mn MWh)	690	270	n.a.	2.6x [?]	~18-yr duration
Anthropic carrying value ($bn)	238.7	190.4	n.a.	+25% [?]	Pref 92.5 + notes 146.2
Diluted shares (mn)	10,929	n.a.	10,845	+0.8% YoY [~]	No buybacks

Sources: 3Q26 8-K Ex. 99.1 and 10-Q; 2Q26 and 3Q25 figures from prior filings as recorded in the preview card and XBRL. Capex is purchases of property and equipment net of proceeds. For cost, debt, capex, lease and commitment lines [↓] means worse for shareholders. Anthropic notes are at fair value through OCI.

4 Guidance analysis

Metric	Guidance	vs prior	vs consensus	Mgmt explanation	Analyst read
4Q26 net sales	$240-247bn (+12-16%)	New	In line ($244.5bn LSEG)	FX -60bp; ads back to high teens	Neutral
4Q26 operating income	$28.5-33.5bn	New	Below ($33.0bn)	Fuel, line-haul, Leo, AI mix	Habitual low guide (8 qtrs)
FY26 cash capex	~$220bn	Maintained	n.a.	Mostly AWS	Implies ~$47.8bn in 4Q; looks low
FY27 cash capex	'Meaningfully more'	New (qualitative)	n.a. (MS $355bn, single source)	'Clear line of sight to attractive returns'	FCF negative again in 2027
AWS growth 2027 and 2028	>40% each year	New	n.a. (MS +47% in 2027, single source)	Reserved capacity, visibility into 2029	Main bull point
AWS margin	None; 'will fluctuate'	Unchanged	n.a. (UBS 46% in 2027)	AI mix lower margin; component prices	Deflected
Trainium outside AWS	From late 2027	New date	n.a.	Upfront revenue vs 5-6 yrs in AWS	Optionality

Underlying economic performance: stronger on AWS demand, growth and margin; weaker on cash, where the gap is now funded with debt and commitments rather than operating cash flow.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Demand and backlog	Strong	Up	$578bn backlog; >40% guide for 2027-28; new Meta, NVIDIA, OpenAI deals	Supports landlord thesis
Capacity and power	Constrained	Up	'Installing an AI accelerator every 14 seconds'; 690mn MWh contracted	Power procurement as a moat
Cost of capital	Very strong	Down slightly	A1/AA; term loan SOFR+62.5-87.5bp; now secured equipment debt	Still far below any neocloud
Custom silicon	Improving	Up	Trainium/Graviton commitments >20x; most Bedrock on Trainium	Margin lever vs Nvidia costs
Lab dependence	High	Down	Anthropic $238.7bn carrying; OpenAI $50bn; no concentration data	Backlog and balance sheet tied to two labs

→ 5-10 year view: AWS's edge is shifting from software breadth to owning power, shells and chips at an AA cost of capital. Jassy's 3,500bp neocloud penalty is a statement that third-party capacity is a stopgap, which caps the long-run share of neoclouds in Amazon's supply.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Funding and leverage	TTM FCF -$7.6bn; LTD $133.0bn	TTM FCF -$42.4bn; face debt $180.9bn; ~$80bn secured facility	Up	Steady supply of AI-linked IG debt; ratings watch
Off-balance-sheet commitments	Leases n.c. $137.2bn	$164.9bn; commitments $883.6bn	Up	Lease-adjusted leverage rising faster than OCF
Capex inflation	$220bn incl. memory	3Q $75.9bn; components a 'headwind'	Up	Returns per MW fall if price, not volume
Lab concentration	Stakes $190.4bn + $50bn	$238.7bn + $50bn; Anthropic facility $15bn	Up	Revenue and balance sheet exposed to same names
AWS deceleration	Bar 35-37.6%	39.3%; >40% guided	Down	Equity risk receded
AWS margin compression	39.4% with gain	38.7% clean	Down	Manageable

Topic	Concern	Response	Evidence
Funding	Can OCF fund the build?	'We can fund this plan' (Jassy)	Quarterly FCF -$33.5bn; $48.1bn LT debt in qtr; secured facility. Funded, but by debt.
Backlog quality	Is the backlog two labs?	'Well-diversified' (Jassy)	No customer split; Anthropic stake +$48.3bn. Unresolved.
Third-party capacity	Will Amazon keep renting from neoclouds?	Neoclouds ~3,500bp worse margin; most capacity owned or long-leased	Stated preference against neocloud capacity; no third-party MW disclosed.

7 Capital, funding and per-share impact

Item	3Q26	2Q26	Note
Operating cash flow	$42.4bn	$45.4bn	TTM $168.3bn (+29%)
Cash capex, net	$75.9bn	$53.1bn	9M $172.2bn; FY26 ~$220bn
Funding gap (FCF)	-$33.5bn	-$7.7bn	Plus $21.3bn OpenAI in investing
LT debt raised	$48.1bn	n.a.	$25bn USD (Jul), GBP 4.25bn (Sep), $17.5bn term loan
Face debt / cash + securities	$180.9bn / $114.2bn	$133.0bn / $123.0bn	Net debt ~$66.7bn
Leases: liabilities / not commenced	$114.8bn / $164.9bn	n.a. / $137.2bn	PV of op + finance leases
Secured supplier facility	Up to ~$80bn	-	Draws Q1 2027-Q3 2028; 5-yr; variable
Shares (diluted)	10,929mn	n.a.	No buybacks in 9M

Next dollar: unsecured notes priced T+40 to T+125bp in July (single source for concession); term loan SOFR+62.5-87.5bp; revolvers renewed in October (benchmark +45bp). Maturities: about $18bn of debt principal and interest due in 4Q26-2027 per the 10-Q table. No post-results bond spread or CDS level found dated 29-30 October.

→ Capex was 1.8x operating cash flow this quarter; the difference came from $48.1bn of new long-term debt and running down cash. Dilution is negligible; the cost of the build sits in debt and commitments, not the share count.

8 Monitoring checklist

Five signals
1. 4Q cash capex vs the ~$47.8bn the FY26 guide implies, and a 2027 number in February.
2. Draws and pricing on the ~$80bn secured facility; new bond deals; rating actions.
3. Backlog above $578bn and any customer split; weighted life (6.1 yrs).
4. AWS growth reaching 40% in 4Q and margin vs 38.7% as D&A rises.
5. Leases not yet commenced (now $164.9bn) and any new third-party or parent-guaranteed sites.

Key risks building: Debt and commitments rising faster than operating cash flow; capex inflated by component prices; lab exposure through both backlog and stakes.

Confirmation signals: AWS >= 40% with margin in the high 30s; FCF trough in 1H27; backlog breadth disclosed; secured facility used only as vendor financing.

Conviction tripwires: AWS growth back below 35%; a rating outlook change; 2027 capex above $355bn with no FCF floor; a lab cutting commitments or a write-down of the Anthropic stake.

Questions for owners	Why it matters / asked?
The 10-Q discloses a secured supplier loan facility of up to about $80bn from Q1 2027. What assets secure it, what is the pricing, and will secured debt be capped as a share of total debt to protect unsecured noteholders?	Credit. Not asked.
Quarterly FCF was -$33.5bn and face debt rose $47.9bn in a quarter. What is the 2027 range for net debt issuance, and at what lease-adjusted leverage would you slow capex?	Credit. Asked in part (Anmuth); deflected ('We can fund this plan').
Leases not yet commenced rose $27.7bn to $164.9bn. How many MW does that cover, and what share is with third-party developers under parent guarantees like Cipher's Stingray?	Credit. Not asked.
You call the backlog 'well-diversified'. What share of the $578bn is Anthropic and OpenAI, and why did weighted life fall to 6.1 years from 6.4?	Credit/equity. Not asked.
The ~$220bn FY26 guide implies 4Q capex of about $47.8bn after $75.9bn in 3Q. Was 3Q pulled forward by component prepurchases, or will FY26 exceed $220bn?	Equity. Not asked.
You said neoclouds are about 3,500bp worse in operating margin. How much third-party capacity do you rent today, and will you let those contracts roll off as owned capacity lands?	Equity; read-across to neocloud credit. Answered in part (Sandler).

Preview questions: term-loan draw answered by the 10-Q (drawn in September); 2027 capex framed only as 'meaningfully more'; backlog given ($578bn) without a split; server lives addressed qualitatively (extending lives); Trainium outside AWS dated to late 2027; leases, guarantees and GW Ranch not asked.

Read-across for Kona: → *Amazon's CEO said neocloud capacity carries about 3,500bp lower operating margin than long-leased capacity, so the product Amazon wants from Kona is a long lease on a powered shell, not GPU-as-a-service. Its blocks are 'hundreds of megawatts or sometimes up to a gigawatt', so at tens of MW Kona should target labs, inference tenants or a developer aggregating for a hyperscaler, and copy the Cipher-style parent-guaranteed lease. Owning GPUs means competing against an AA buyer that can now finance chips through a variable-rate secured vendor facility of up to about $80bn; Kona should not bet its equity on that spread.*